with the chosen discount rate, which is a subjective number that depends on the stability of the income stream. Yet in all three scenarios in the Table 1.9, human capital is worth more than 90% of the 30-year-old's total capital. That is my main point. Regardless of how safe and predictable or risky and unstable your salary appears, when you have 20 to 30 years of work ahead of you, the discounted value of this asset is likely the largest single item on your personal balance sheet. Of course, your local bank or insurance company doesn't send you a monthly statement that lists or calculates the value of your human capital, but that doesn't mean it isn't valuable.

The Balance Sheet: You, Inc.

The 21st Century Approach

Assets	Debt + Liabilities
• Bank Accounts • Housing • Stocks and Bonds • Car and Vehicles • Small Business Equity • PV of Pension	• Mortgages • Consumer Loans • Credit Cards • Student Loans
+ HUMAN CAPITAL	Equity • Net Worth of You, Inc.

Figure 1.2 We reach the main point—human capital.

Source: Moshe Milevsky and the IFID Centre, 2008.

TABLE 1.9 Example of the Discounted Value of Human Capital

Discount Rate	$ Present Value of Human Capital	% of Total Capital
3.5%	744,900	94%
5.0%	622,600	93%
7.5%	478,300	91%

Source: Moshe Milevsky and the IFID Centre calculations, 2008.

Let me repeat this point again because it is crucial for the next few chapters and for most of the book. The single most precious asset on your personal financial balance sheet is not your savings account, your investment portfolio, your jewelry, or even your house. Rather, it is the discounted value of all the salary, wages, and income you will earn over